

Take Barbara Corcoran, a fellow Shark and a woman worth about \$40 million. I once commented on a nice pearl necklace she had on, and when she told me the price, I nearly choked. Not because it was so expensive. Quite the opposite. I couldn't believe how *little* it cost. Barbara describes her style as "easy and simple," and she's not the kind of woman who's dazzled by brand names and inlaid diamonds. Barbara and I don't always see eye to eye on things, but when she told me she spent \$10 on that necklace in Chinatown, I've never admired her more. Sometimes she wears a different pearl necklace that cost \$120, and she's gone on record saying you can't tell the difference. For once I agree with her.

Skip that huge outlay of cash, or put it toward a true investment. Because gold and diamond values rise and fall sharply with the commodities markets. Do your research before investing, and never invest more than 5 percent in any one category—that includes gold. Not to mention, jewelry often gets lost or stolen and is hard to insure. And if you do get insurance, the cost of the premiums can erode the face value of the jewelry. The other problem is that quality is subjective. Appraisers will vary wildly in their assessment of a piece of jewelry's value. Again, do your research and get recommendations from people who know more about this than you.

The thing I hate the most about jewelry is the markups. If you want to go cheap, buy the diamond separate from the setting, and bargain hard for both. Jewelry salespeople are worse than used car dealers. Bring someone experienced to haggle for you. I bought my wife a gem when we got engaged, and she picked out the setting. It wasn't just cheaper, it made the gift more personal, and she had control over the tricky parts, the metal for the band and the fit.

Mostly jewelry breaks my number-one rule when it comes to money and investing: Emotions are often involved. If there is a sentimental value attached to a locket or diamond, you will always be reluctant to part with it. Then you're sitting on a dead investment.